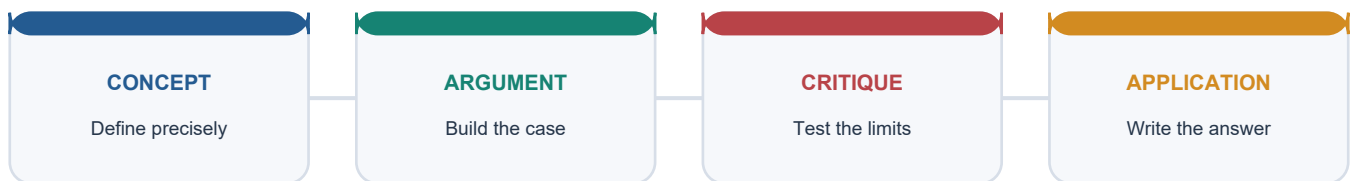


SOLVED PRACTICE WORKBOOK

Union Budget, Fiscal Policy and Deficit Indicators - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Union Budget, Fiscal Policy and Deficit Indicators - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Under Article 112, which statement is correct?

A. The President causes the Annual Financial Statement to be laid before both Houses. B. The Prime Minister constitutionally lays it before the Lok Sabha alone. C. It contains only charged expenditure. D. Its presentation itself appropriates money from the Consolidated Fund.

Answer: A.

Option-wise explanation:

- **A - Correct:** Article 112 assigns the laying obligation to the President; the Finance Minister presents it in practice on the President's behalf.
- **B - Incorrect:** The Prime Minister is not the constitutional actor named in Article 112.
- **C - Incorrect:** The statement includes both charged and other expenditure, not only charged items.
- **D - Incorrect:** Appropriation under Article 114 is separately required before withdrawal.

Examiner trap 1: Do not replace the tested rule - The President causes the Annual Financial Statement to be laid before both Houses. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 2

Which matching of account and rule is correct?

A. Consolidated Fund - no parliamentary authority is needed for withdrawal. B. Public Account - money held in trust; repayment generally does not require parliamentary appropriation. C. Contingency Fund - ordinary annual departmental expenditure. D. Public Account - all tax revenue belongs permanently to government.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The Consolidated Fund requires withdrawal authority through appropriation.
- **B - Correct:** Public Account is the correct match because government acts as banker for repayable balances.
- **C - Incorrect:** The Contingency Fund is for urgent unforeseen advances, not ordinary annual expenditure.
- **D - Incorrect:** Tax revenue is credited to the Consolidated Fund rather than held as a repayable Public Account balance.

Examiner trap 2: Do not replace the tested rule - Public Account - money held in trust; repayment generally does not require parliamentary appropriation. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 3

Consider the following: 1. Charged expenditure may be discussed. 2. It is not submitted to vote. 3. It needs no appropriation. Which is correct?

A. 1 only B. 2 and 3 only C. 1 and 2 only D. 1, 2 and 3

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Statement 1 alone omits the equally correct non-votability rule.
- **B - Incorrect:** Statement 3 is wrong because charged sums are included in appropriation.
- **C - Correct:** Statements 1 and 2 correctly preserve discussion without vote.

- **D - Incorrect:** All three cannot be correct because appropriation is still required.

Examiner trap 3: Do not replace the tested rule - 1 and 2 only - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 4

Which sequence best describes ordinary Union expenditure authorisation?

A. Finance Bill -> CAG audit -> Demand for Grant -> withdrawal B. Vote on Account -> Finance Commission -> Public Account -> withdrawal C. Budget speech -> immediate executive withdrawal -> later AFS D. Annual Financial Statement -> Demands for Grants -> Appropriation Bill -> withdrawal

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The Finance Bill concerns tax proposals and cannot replace grant and appropriation stages.
- **B - Incorrect:** The Finance Commission and Public Account do not form the ordinary voted-expenditure sequence.
- **C - Incorrect:** A speech does not permit immediate withdrawal from the Consolidated Fund.
- **D - Correct:** The stated sequence correctly moves from estimates to vote, legal appropriation and withdrawal.

Examiner trap 4: Do not replace the tested rule - Annual Financial Statement -> Demands for Grants -> Appropriation Bill -> withdrawal - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 5

Which is a revenue receipt?

A. Interest received by government on loans it extended B. Fresh market borrowing C. Recovery of principal on a government loan D. Proceeds from disinvestment

Answer: A.

Option-wise explanation:

- **A - Correct:** Interest received neither creates a liability nor reduces a financial asset and is non-tax revenue.
- **B - Incorrect:** Market borrowing creates a liability and is a debt capital receipt.
- **C - Incorrect:** Principal recovery reduces a financial asset and is a non-debt capital receipt.
- **D - Incorrect:** Disinvestment reduces government ownership assets and is a capital receipt.

Examiner trap 5: Do not replace the tested rule - Interest received by government on loans it extended - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 6

Which is a non-debt capital receipt?

A. Goods and Services Tax collection B. Recovery of loans granted by government C. Treasury-bill borrowing D. Dividend received from a public enterprise

Answer: B.

Option-wise explanation:

- **A - Incorrect:** GST collection is tax revenue rather than a capital receipt.
- **B - Correct:** Loan recovery is non-debt capital receipt because a financial asset is reduced without new debt.
- **C - Incorrect:** Treasury-bill proceeds create a liability and are debt receipts.
- **D - Incorrect:** Dividend income is a non-tax revenue receipt.

Examiner trap 6: Do not replace the tested rule - Recovery of loans granted by government - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 7

Which expenditure is most directly classified as capital expenditure in government accounts?

- A. Interest payment on past debt B. Salary of an existing department C. Acquisition of a durable asset by the Union Government D. A routine operating subsidy

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Interest is a current contractual payment on the revenue account.
- **B - Incorrect:** Salary supports current administration and is revenue expenditure.
- **C - Correct:** Asset acquisition changes the government's asset position and is capital expenditure.
- **D - Incorrect:** A routine subsidy is ordinarily revenue expenditure even if socially valuable.

Examiner trap 7: Do not replace the tested rule - Acquisition of a durable asset by the Union Government - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 8

Effective capital expenditure equals:

- A. Revenue expenditure minus revenue receipts B. Capital receipts minus borrowings C. Fiscal deficit minus interest payments D. Capital expenditure plus grants-in-aid for creation of capital assets

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The first formula is revenue deficit rather than effective capex.
- **B - Incorrect:** Subtracting borrowing from capital receipts identifies a non-debt subset, not effective capex.
- **C - Incorrect:** Fiscal deficit minus interest is primary deficit.
- **D - Correct:** Effective capex adds qualifying asset-creation grants to the Centre's own capital expenditure.

Examiner trap 8: Do not replace the tested rule - Capital expenditure plus grants-in-aid for creation of capital assets - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 9

Revenue deficit is:

- A. Revenue expenditure minus revenue receipts B. Total expenditure minus all receipts including borrowing C. Fiscal deficit minus interest payments D. Revenue deficit minus asset-creating grants

Answer: A.

Option-wise explanation:

- **A - Correct:** Revenue deficit is exactly the excess of revenue expenditure over revenue receipts.
- **B - Incorrect:** Including borrowing among receipts would conceal the borrowing requirement and does not define RD.
- **C - Incorrect:** Fiscal deficit net of interest is primary deficit.
- **D - Incorrect:** RD net of asset-creating grants is effective revenue deficit.

Examiner trap 9: Do not replace the tested rule - Revenue expenditure minus revenue receipts - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 10

Effective revenue deficit is:

- A. Fiscal deficit minus capital expenditure B. Revenue deficit minus grants-in-aid for creation of capital assets C. Revenue receipts minus revenue expenditure D. Primary deficit plus interest payments

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Fiscal deficit minus capex is not the official ERD identity.
- **B - Correct:** ERD is RD less qualifying capital-asset grants.
- **C - Incorrect:** Revenue receipts minus revenue expenditure reverses the RD sign.
- **D - Incorrect:** Primary deficit plus interest reconstructs fiscal deficit, not ERD.

Examiner trap 10: Do not replace the tested rule - Revenue deficit minus grants-in-aid for creation of capital assets - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 11

If total expenditure is 120, revenue receipts 80 and non-debt capital receipts 10, fiscal deficit is:

- A. 20 B. 40 C. 30 D. 50

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Twenty ignores part of the expenditure-receipt gap.
- **B - Incorrect:** Forty omits the Rs 10 non-debt capital receipt.
- **C - Correct:** FD equals 120 minus 80 minus 10, giving 30.
- **D - Incorrect:** Fifty would incorrectly exclude more receipts than the question provides.

Examiner trap 11: Do not replace the tested rule - 30 - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 12

A fiscal deficit of 50 and interest payments of 12 imply a primary deficit of:

- A. 62 B. 50 C. 12 D. 38

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Adding interest gives 62 and reverses the formula.
- **B - Incorrect:** A primary deficit is not identical to FD when interest is positive.
- **C - Incorrect:** Twelve is the interest component, not the residual primary gap.
- **D - Correct:** Primary deficit equals 50 minus 12, or 38.

Examiner trap 12: Do not replace the tested rule - 38 - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 13

Which statement correctly preserves budget vintage?

- A. FY2026-27 BE is a forward estimate, FY2025-26 RE an updated estimate and FY2024-25 Actuals a realised figure in Budget 2026-27. B. All three are audited actual outcomes. C. RE is the next year's original Budget proposal. D. An Actual and a BE can be compared without stating their status.

Answer: A.

Option-wise explanation:

- **A - Correct:** The statement correctly distinguishes policy estimate, update and realised year.

- **B - Incorrect:** BE and RE are not audited outcomes.
- **C - Incorrect:** RE updates the current year's expected outcome rather than originating the next-year plan.
- **D - Incorrect:** Cross-vintage comparison without labels invites a false trend inference.

Examiner trap 13: Do not replace the tested rule - FY2026-27 BE is a forward estimate, FY2025-26 RE an updated estimate and FY2024-25 Actuals a realised figure in Budget 2026-27. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 14

Which distinction between the Finance Bill and Appropriation Bill is correct?

- A. Both solely authorise expenditure. B. The Finance Bill gives effect to tax proposals; the Appropriation Bill authorises withdrawal from the Consolidated Fund. C. The Appropriation Bill imposes taxes while the Finance Bill votes grants. D. Neither requires parliamentary passage.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Both Bills have distinct roles; neither is solely a duplicate spending Bill.
- **B - Correct:** The stated distinction correctly separates tax authority from withdrawal authority.
- **C - Incorrect:** The roles in this option are reversed.
- **D - Incorrect:** Both require parliamentary procedure and enactment.

Examiner trap 14: Do not replace the tested rule - The Finance Bill gives effect to tax proposals; the Appropriation Bill authorises withdrawal from the Consolidated Fund. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 15

Which statement about additional fiscal authorisation is correct?

- A. A supplementary grant is always for a wholly new service. B. A Vote on Account regularises past excess. C. An excess grant regularises expenditure already incurred beyond authorisation. D. An additional grant can never arise after the original Budget.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Supplementary provision commonly covers insufficiency in an existing service.
- **B - Incorrect:** Vote on Account is an advance, not ex-post regularisation.
- **C - Correct:** Excess grant is the correct ex-post category.
- **D - Incorrect:** An additional grant exists precisely when a new service not contemplated earlier arises.

Examiner trap 15: Do not replace the tested rule - An excess grant regularises expenditure already incurred beyond authorisation. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 16

Which statement best distinguishes a Vote on Account from an interim budget?

- A. They are identical constitutional expressions. B. A Vote on Account permanently replaces the Appropriation Act. C. An interim budget can be presented only during war. D. A Vote on Account is Article 116 authority for an advance; interim budget is a broader political-practice label.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The Constitution does not use the two expressions as identical categories.
- **B - Incorrect:** An advance does not permanently replace full appropriation.
- **C - Incorrect:** War is not the defining condition for an interim budget.

- **D - Correct:** The stated distinction preserves the legal and political meanings.

Examiner trap 16: Do not replace the tested rule - A Vote on Account is Article 116 authority for an advance; interim budget is a broader political-practice label. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 17

A token cut motion seeks to:

- A. Reduce a demand by Rs 100 to ventilate a specific grievance B. Reject the underlying policy by reducing the demand to Re 1 C. Reduce expenditure by an exactly specified economy amount D. Convert charged expenditure into voted expenditure

Answer: A.

Option-wise explanation:

- **A - Correct:** A Rs 100 reduction linked to a grievance defines the token cut.
- **B - Incorrect:** Reduction to Re 1 identifies a policy cut.
- **C - Incorrect:** A specified saving identifies an economy cut.
- **D - Incorrect:** A cut motion cannot change the constitutional status of charged expenditure.

Examiner trap 17: Do not replace the tested rule - Reduce a demand by Rs 100 to ventilate a specific grievance - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 18

Which is an automatic stabiliser during a downturn?

- A. Parliament enacts a new one-time stimulus package B. Tax collections fall under existing rules as incomes and profits decline C. Government announces a new infrastructure scheme D. A new tax surcharge is legislated after the shock

Answer: B.

Option-wise explanation:

- **A - Incorrect:** A newly enacted package is discretionary.
- **B - Correct:** Falling collections under unchanged rules operate automatically.
- **C - Incorrect:** A newly announced project requires a policy decision.
- **D - Incorrect:** A new surcharge is discretionary and may even be pro-cyclical.

Examiner trap 18: Do not replace the tested rule - Tax collections fall under existing rules as incomes and profits decline - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 19

Why may a transfer have a high short-run fiscal multiplier?

- A. Every transfer directly creates a government asset B. Imports and saving always equal zero C. Liquidity-constrained recipients may spend a large share quickly D. Monetary policy never responds

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Transfers do not ordinarily create an asset in government accounts.
- **B - Incorrect:** Leakages through saving and imports need not vanish.
- **C - Correct:** Liquidity-constrained recipients provide the plausible mechanism for rapid demand transmission.
- **D - Incorrect:** Monetary response can alter the final multiplier.

Examiner trap 19: Do not replace the tested rule - Liquidity-constrained recipients may spend a large share quickly - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 20

Which is countercyclical fiscal action in a recession?

A. Immediate across-the-board cuts despite idle capacity B. Permanent untargeted commitments without financing C. Concealing liabilities outside the Budget D. Temporary targeted support that cushions demand while preserving a credible exit

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Across-the-board cuts can amplify a recession.
- **B - Incorrect:** Permanent unfinanced commitments are not a disciplined stabiliser.
- **C - Incorrect:** Off-budget concealment is a transparency failure.
- **D - Correct:** Temporary targeted support with an exit leans against the downturn.

Examiner trap 20: Do not replace the tested rule - Temporary targeted support that cushions demand while preserving a credible exit - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 21

Public capex is most likely to crowd in private investment when it:

A. Removes a binding infrastructure bottleneck and raises expected returns B. Absorbs scarce credit without increasing productive capacity C. Funds an incomplete low-use project D. Creates unpredictable arrears to contractors

Answer: A.

Option-wise explanation:

- **A - Correct:** Removing a bottleneck can reduce private costs and raise complementary returns.
- **B - Incorrect:** Scarce-credit absorption without capacity is a crowding-out channel.
- **C - Incorrect:** Incomplete low-use assets weaken the expected payoff.
- **D - Incorrect:** Arrears damage liquidity and confidence rather than crowding in.

Examiner trap 21: Do not replace the tested rule - Removes a binding infrastructure bottleneck and raises expected returns - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 22

In the simplified debt-dynamics relation, which combination improves the debt ratio, other things equal?

A. Higher interest rate with unchanged growth and larger primary deficit B. Higher nominal growth relative to the effective interest rate and a stronger primary balance C. Shorter maturity and larger contingent liabilities D. Lower growth and persistent primary deficit

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Higher rates and larger primary deficits worsen debt dynamics.
- **B - Correct:** Stronger growth relative to interest plus a better primary balance improves the ratio.
- **C - Incorrect:** Short maturity and contingent risk weaken resilience.
- **D - Incorrect:** Lower growth and repeated primary deficits add pressure.

Examiner trap 22: Do not replace the tested rule - Higher nominal growth relative to the effective interest rate and a stronger primary balance - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 23

Which statement correctly distinguishes fiscal deficit and debt?

A. Both are annual expenditure flows. B. Debt is always equal to the latest year's fiscal deficit. C. Fiscal deficit is a period flow; debt is an accumulated stock at a point in time. D. Fiscal deficit includes all future contingent liabilities.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Debt is a stock, so the first option is wrong.
- **B - Incorrect:** One year's FD cannot equal the accumulated stock except by coincidence.
- **C - Correct:** The stated stock-flow distinction is correct.
- **D - Incorrect:** Contingent liabilities are not automatically included in the headline FD.

Examiner trap 23: Do not replace the tested rule - Fiscal deficit is a period flow; debt is an accumulated stock at a point in time. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 24

Under FRBM section 4, which statement about the escape mechanism is correct?

A. Any ministerial priority permits unlimited deviation. B. The clause permanently suspends all targets after one shock. C. It applies only when tax revenue declines. D. Enumerated grounds can permit deviation, capped at 0.5 percentage point of GDP in a year, with a return-path statement.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The grounds are enumerated, not open-ended ministerial preference.
- **B - Incorrect:** Escape is temporary and requires a return path.
- **C - Incorrect:** Revenue decline alone is not the complete legal trigger.
- **D - Correct:** The option states the ground, cap and disclosure architecture accurately.

Examiner trap 24: Do not replace the tested rule - Enumerated grounds can permit deviation, capped at 0.5 percentage point of GDP in a year, with a return-path statement. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 25

FRBM section 5 primarily establishes that:

A. Routine direct Central Government borrowing from RBI is barred, subject to temporary advances and specified exceptions. B. RBI may never buy government securities C. All fiscal deficits must be monetised D. Ways and Means Advances are permanent budget resources

Answer: A.

Option-wise explanation:

- **A - Correct:** The section permits secondary-market transactions and therefore is not an absolute purchase ban.
- **B - Incorrect:** The stated rule correctly separates the bar from temporary and escape-ground exceptions.
- **C - Incorrect:** FRBM seeks to limit routine direct financing rather than mandate monetisation.
- **D - Incorrect:** WMA addresses temporary cash mismatch and is repayable.

Examiner trap 25: Do not replace the tested rule - Routine direct Central Government borrowing from RBI is barred, subject to temporary advances and specified exceptions. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 26

Which case most clearly represents off-budget borrowing risk?

A. A ministry spends an appropriated grant shown in the AFS B. A public entity borrows, while principal and interest are contractually serviced from future Union Budgets. C. A household deposits money in a bank D. The government collects a disclosed user fee

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Ordinary appropriated spending is on-budget.
- **B - Correct:** A fully budget-serviced entity borrowing is the core fiscal-substance risk.
- **C - Incorrect:** Private bank deposits are not public off-budget borrowing.
- **D - Incorrect:** A disclosed fee is a non-tax receipt rather than hidden borrowing.

Examiner trap 26: Do not replace the tested rule - A public entity borrows, while principal and interest are contractually serviced from future Union Budgets. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 27

Which statement about guarantees is correct?

A. Every guarantee immediately equals fiscal deficit B. The FRBM 0.5% limit caps total outstanding guarantees C. A guarantee is contingent exposure; annual net addition, outstanding stock and invocation are different measures. D. A guaranteed PSU loan is always risk-free

Answer: C.

Option-wise explanation:

- **A - Incorrect:** A guarantee normally becomes cash outgo only when invoked or otherwise recognised.
- **B - Incorrect:** The 0.5 per cent rule concerns additional guarantees in a financial year.
- **C - Correct:** Guarantees shift risk rather than abolish it.
- **D - Incorrect:** The statement correctly separates flow, stock and crystallisation.

Examiner trap 27: Do not replace the tested rule - A guarantee is contingent exposure; annual net addition, outstanding stock and invocation are different measures. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 28

Which Public Account statement is correct?

A. It contains only voted expenditure B. All withdrawals require an Appropriation Act C. Its balances are identical to tax revenue D. It contains money held by government in trust and generally repayable to depositors or authorities.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Voted expenditure is principally a Consolidated Fund authorisation question.
- **B - Incorrect:** Public Account repayment generally does not require parliamentary appropriation.
- **C - Incorrect:** Tax receipts enter the Consolidated Fund.
- **D - Correct:** The correct option captures trust-like, repayable balances.

Examiner trap 28: Do not replace the tested rule - It contains money held by government in trust and generally repayable to depositors or authorities. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 29

According to official Union Budget 2026-27 documents dated 1 February 2026, which set is correct?

A. FY2026-27 BE fiscal deficit 4.3% of GDP and capital expenditure about Rs 12.22 lakh crore B. FY2026-27 Actual fiscal deficit 4.3% and capex Rs 12.22 lakh crore C. FY2025-26 Actual fiscal deficit 4.3% and capex Rs 17.15 lakh crore D. FY2030-31 BE debt 55.6% and fiscal deficit 3%

Answer: A.

Option-wise explanation:

- **A - Correct:** The figures are Budget Estimates, not Actuals.
- **B - Incorrect:** The first year and labels are mismatched, and Rs 17.15 lakh crore is effective capex BE for FY2026-27.
- **C - Incorrect:** The option invents a FY2030-31 BE and confuses debt and deficit targets.
- **D - Incorrect:** The correct option preserves value, fiscal year and estimate status.

Examiner trap 29: Do not replace the tested rule - FY2026-27 BE fiscal deficit 4.3% of GDP and capital expenditure about Rs 12.22 lakh crore - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 30

Which correctly describes the current debt path in Union Budget 2026-27?

A. The statutory 40% target is reported as achieved in FY2026-27 B. Central debt is estimated at 55.6% of GDP in FY2026-27 BE, with a medium-term aim of 50 plus or minus 1% by FY2030-31. C. Debt is 4.3% of GDP because it equals fiscal deficit D. The 50 plus or minus 1% aim is an FY2026-27 Actual

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The 40 per cent statutory target date is not the current estimated achievement.
- **B - Correct:** The correct option distinguishes the BE debt ratio from the medium-term aim.
- **C - Incorrect:** Debt stock and annual fiscal deficit are different measures.
- **D - Incorrect:** The medium-term aim is not an FY2026-27 actual.

Examiner trap 30: Do not replace the tested rule - Central debt is estimated at 55.6% of GDP in FY2026-27 BE, with a medium-term aim of 50 plus or minus 1% by FY2030-31. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 31

Which institutional pairing is correct?

A. CAG prepares the Union Budget and CGA votes grants B. RBI passes the Appropriation Bill C. CGA compiles Union accounts; CAG independently audits public accounts and reports. D. Finance Commission audits ministry expenditure

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Budget preparation and voting are not functions of CAG or CGA.
- **B - Incorrect:** RBI does not enact appropriation.
- **C - Correct:** The Finance Commission recommends fiscal transfers rather than auditing ministries.
- **D - Incorrect:** The pairing correctly distinguishes executive accounting from constitutional audit.

Examiner trap 31: Do not replace the tested rule - CGA compiles Union accounts; CAG independently audits public accounts and reports. - with a neighbouring legal, accounting, vintage or institutional category.

MCQ 32

Which statement preserves the State-finance boundary?

A. Article 280 makes every State deficit part of Union FD B. Finance Commission recommendations are identical to State budgets C. Article 281 authorises all State borrowing D. Union fiscal deficit must not be treated as the consolidated general-government deficit.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Article 280 does not consolidate State deficits into Union FD.
- **B - Incorrect:** Finance Commission recommendations and State budgets are distinct.
- **C - Incorrect:** Article 281 concerns laying recommendations and an action memorandum, not all State borrowing.
- **D - Correct:** The correct option maintains institutional perimeter.

Examiner trap 32: Do not replace the tested rule - Union fiscal deficit must not be treated as the consolidated general-government deficit. - with a neighbouring legal, accounting, vintage or institutional category.

PYQS AND ANSWER PRACTICE

Exact objective PYQs with locally verified official Set-A keys

UPSC Prelims 2024 GS-I, Set A, Q85

Question: With reference to Union Budget, consider the following statements:

1. The Union Finance Minister on behalf of the Prime Minister lays the Annual Financial Statement before both the Houses of Parliament.
2. At the Union level, no demand for a grant can be made except on the recommendation of the President of India.

A. 1 only B. 2 only C. Both 1 and 2 D. Neither 1 nor 2

Official Set-A answer: B. Article 112 refers to the President, not the Prime Minister; Article 113(3) requires the President's recommendation for a demand.

UPSC Prelims 2025 GS-I, Set A, Q10

Question: Consider the following statements:

- I. Capital receipts create a liability or cause a reduction in the assets of the Government.
- II. Borrowings and disinvestment are capital receipts.
- III. Interest received on loans creates a liability of the Government.

Which of the statements given above are correct?

A. I and II only B. II and III only C. I and III only D. I, II and III

Official Set-A answer: A. Interest received is non-tax revenue; it neither creates a liability nor reduces a financial asset.

UPSC Prelims 2025 GS-I, Set A, Q61

Question: Suppose the revenue expenditure is Rs 80,000 crores and the revenue receipts of the Government are Rs 60,000 crores. The Government budget also shows borrowings of Rs 10,000 crores and interest payments of Rs 6,000 crores. Which of the following statements are correct?

- I. Revenue deficit is Rs 20,000 crores.
- II. Fiscal deficit is Rs 10,000 crores.
- III. Primary deficit is Rs 4,000 crores.

Select the correct answer using the code given below.

A. I and II only B. II and III only C. I and III only D. I, II and III

Official Set-A answer: D. RD = 80,000 - 60,000; the stated borrowing gap is FD; PD = 10,000 - 6,000.

UPSC Prelims 2025 GS-I, Set A, Q65

Question: A country's fiscal deficit stands at Rs 50,000 crores. It is receiving Rs 10,000 crores through non-debt creating capital receipts. The country's interest liabilities are Rs 1,500 crores. What is the gross primary deficit?

A. Rs 48,500 crore B. Rs 51,500 crore C. Rs 58,500 crore D. None of the above

Official Set-A answer: A. $PD = FD - \text{interest} = 50,000 - 1,500$. The non-debt receipt is already reflected in the given FD.

Historical objective routes without locally verified final official keys

- 2018 Q9 - FRBM Review Committee debt-GDP recommendations: Answer withheld pending official UPSC key.
- 2018 Q47 - opportunity cost of free public provision: Answer withheld pending official UPSC key.
- 2020 Q6 - legal mandate for the Macro-Economic Framework Statement: Answer withheld pending official UPSC key.
- 2021 Q3 - fiscal measures during recession: Answer withheld pending official UPSC key.
- 2021 Q9 - economic effects of black money: Answer withheld pending official UPSC key.
- 2022 Q9 - capital versus revenue expenditure classification: Answer withheld pending official UPSC key.
- 2022 Q10 - household financial savings and government internal debt: Answer withheld pending official UPSC key.

Descriptive PYQ routes and model frameworks

2019 GS-III Q12 - Public expenditure management

Verified routed demand: Public expenditure management challenge in post-liberalisation budget making.

Model solution: Public expenditure management converts legislative authority into economical, efficient and effective public services. Post-liberalisation India faces a larger and more complex spending state: centrally sponsored schemes cross government levels; public enterprises and special-purpose vehicles blur the fiscal perimeter; subsidies, guarantees and public-private partnerships create multi-year commitments; and technology generates both traceability and exclusion risks.

The principal challenges are unrealistic estimates, fragmented schemes, delayed releases, idle balances, weak procurement and contract management, incomplete projects, underfunded maintenance, poor outcome indicators and slow follow-up on audit findings. Off-budget borrowing and arrears can improve the visible annual deficit while shifting obligations forward.

Reform should integrate medium-term expenditure planning with annual grants, protect high-value capital and human-development spending, use Treasury Single Account and just-in-time release systems, strengthen project appraisal and asset registers, disclose guarantees and EBR, and connect Output Outcome Monitoring Framework indicators with independent evaluation. CGA reconciliation, CAG audit and parliamentary committees must close the accountability loop.

The objective is not merely lower spending, but transparent conversion of each authorised rupee into durable public value.

2021 GS-III Q2 - Capital Budget and Revenue Budget

Verified routed demand: Distinguish Capital Budget and Revenue Budget and explain their components.

Model solution: The Revenue Budget contains revenue receipts and revenue expenditure. Revenue receipts neither create liabilities nor reduce financial assets and include tax and non-tax revenue. Revenue expenditure generally finances current administration, interest, subsidies, transfers and services without creating an asset in the Union's own books.

The Capital Budget contains capital receipts and capital expenditure. Capital receipts either create liabilities, as with borrowing, or reduce financial assets, as with loan recovery and disinvestment. Capital expenditure creates or acquires assets, extends loans or reduces liabilities.

The distinction supports deficit analysis. Revenue deficit measures current-account dissaving, while fiscal deficit captures the total borrowing gap after non-debt receipts. Yet accounting classification is not a productivity ranking. Health and education revenue expenditure can build human capability, and a capital project may be delayed or low-value. Effective capital expenditure therefore adds grants for capital-asset creation to Union capital expenditure, recognising assets created in recipient books.

Budget quality must combine classification with completion, maintenance, distribution and outcome evidence.

2024 GS-III Q1 - Social-services expenditure and inclusive growth

Question: Examine the pattern and trend of public expenditure on social services in the post-reforms period in India. To what extent has this been in consonance with achieving the objective of inclusive growth? (150 words)

Model solution: Post-reform social expenditure expanded in absolute terms and through wider education, health, nutrition, housing, employment and social-protection programmes. The composition also shifted toward shared Union-State implementation, direct transfers and insurance or entitlement-based delivery. This supported school access, food security, rural employment, financial resilience and health coverage.

However, inclusive growth requires capability and distributional outcomes, not allocation alone. Spending remains uneven across States; primary health, learning quality, urban services and social-care capacity face gaps; and delayed releases, vacancies, exclusion errors and weak local institutions reduce effectiveness. Household out-of-pocket costs and unequal digital access can preserve vulnerability even when scheme coverage expands.

Policy should protect social spending during consolidation, improve outcome-based budgeting, strengthen local delivery, publish disaggregated indicators and coordinate revenue and capital components such as hospitals with staff and maintenance. The trend is broadly supportive of inclusion, but adequacy, quality and inter-State convergence remain incomplete.

2025 GS-III Q11 - Fiscal Health Index

Question: Explain how the Fiscal Health Index can be used as a tool for assessing the fiscal performance of states in India. In what way would it encourage the states to adopt prudent and sustainable fiscal policies? (250 words)

Model solution: The Fiscal Health Index converts State public finance into a multidimensional benchmark rather than relying on one deficit ratio. Its dimensions can compare revenue mobilisation, expenditure quality, fiscal prudence, debt sustainability and the structure of liabilities across comparable States and years.

For diagnosis, a State can identify whether weakness arises from low own-revenue effort, high committed expenditure, inadequate capital formation, persistent deficits or debt-service pressure. A dashboard also reveals trade-offs: a State may show a contained deficit but weak development spending, or high capital expenditure with rising guarantees and repayment risk.

For incentives, transparent comparison can support competitive federalism, peer learning and medium-term reform plans. Finance departments can set measurable targets for tax administration, subsidy redesign, project completion, debt maturity and guarantee disclosure. Legislatures, citizens and lenders gain a common evidence base for scrutiny.

Limitations must be retained. Rankings are sensitive to data quality, weights, economic structure, disaster exposure and inherited debt. The Index should not mechanically determine grants or reward cuts in essential services. It should be used with State-specific context, audited accounts and outcome indicators.

Used as a diagnostic rather than a league table, the Index can encourage credible, transparent and growth-compatible fiscal correction.

No official UPSC descriptive model answer is claimed.

ORIGINAL MAINS PRACTICE AND MODEL ANSWERS

Counts cover only each isolated answer body using the native alphanumeric-token regex.

M1 - 10 marks - 150 words

Question: Distinguish the Consolidated Fund, Public Account and Contingency Fund of India.

Demand plan: define the legal/accounting boundary, attach dated Indian evidence, trace the economic mechanism and end with a qualified reform verdict.

Model answer (138 native-body words):

Article 266 places Union revenues, loans raised and loan recoveries in the Consolidated Fund of India. Government expenditure is ordinarily incurred from this Fund, and withdrawal requires parliamentary authorisation through appropriation. Charged expenditure is not voted, but it is still discussed, disclosed and appropriated.

Article 266(2) creates the Public Account for money held by government in trust, including provident funds, small savings and specified deposits. Such money is repayable; routine repayment does not require parliamentary appropriation, though transfers into the account from the Consolidated Fund need authority.

Article 267 permits the Contingency Fund as an imprest at the President's disposal for urgent unforeseen expenditure pending legislative approval. After ex-post authorisation, an equivalent amount is drawn from the Consolidated Fund to recoup it.

Thus the three differ by ownership, purpose and withdrawal rule. None permits uncontrolled executive expenditure.

M2 - 10 marks - 150 words

Question: Explain why fiscal, revenue and primary deficits must be read together.

Demand plan: define the legal/accounting boundary, attach dated Indian evidence, trace the economic mechanism and end with a qualified reform verdict.

Model answer (146 native-body words):

Fiscal deficit equals total expenditure minus non-debt receipts and broadly measures the year's borrowing requirement. Revenue deficit equals revenue expenditure minus revenue receipts and reveals current-account dissaving. Effective revenue deficit deducts grants for capital-asset creation, recognising that an item booked as Union revenue expenditure may create an asset elsewhere. Primary deficit subtracts interest payments from fiscal deficit and isolates the current non-interest gap.

Together they answer different questions. A falling fiscal deficit may still conceal weak revenue balance; a high fiscal deficit may finance productive capital expenditure; and a low primary deficit may reflect a large inherited interest burden rather than low debt.

Analysis must add financing mix, debt maturity, off-budget liabilities and expenditure outcomes. It must also preserve fiscal year and vintage. Union Budget 2026-27 figures are Budget Estimates, not realised outcomes. Therefore no single deficit is a complete measure of fiscal quality or sustainability.

M3 - 15 marks - 250 words

Question: Explain how Parliament authorises and scrutinises Union expenditure.

Demand plan: define the legal/accounting boundary, attach dated Indian evidence, trace the economic mechanism and end with a qualified reform verdict.

Model answer (219 native-body words):

The Constitution separates fiscal disclosure, voting and legal withdrawal. Under Article 112, the President causes the Annual Financial Statement to be laid before both Houses. It distinguishes charged expenditure from other expenditure and separates revenue-account spending.

Under Article 113, charged expenditure may be discussed but is not submitted to vote. Other expenditure is presented ministry-wise as Demands for Grants to the Lok Sabha, on the President's recommendation. Members can use policy, economy and token cut motions to question policy, amount or a specific grievance. The guillotine, however, may dispose of undiscussed demands when allotted time expires.

After voting, Article 114 requires an Appropriation Bill covering voted grants and charged sums. No money can ordinarily be withdrawn from the Consolidated Fund without appropriation. The Finance Bill separately gives effect to taxation proposals. Article 115 provides supplementary, additional and excess grants when provision is inadequate, a new service arises or expenditure exceeds authority. Article 116 permits Vote on Account, vote of credit and exceptional grants.

Control continues after enactment. Ministries execute expenditure; the Controller General of Accounts compiles accounts; the Comptroller and Auditor General audits; and parliamentary committees examine compliance and performance.

Thus parliamentary control is not confined to Budget Day. Its effectiveness depends on realistic estimates, adequate debate, committee scrutiny, transparent supplementary demands, timely accounts and follow-up on audit findings.

M4 - 15 marks - 250 words

Question: Critically examine India's FRBM framework as a balance between fiscal discipline and flexibility.

Demand plan: define the legal/accounting boundary, attach dated Indian evidence, trace the economic mechanism and end with a qualified reform verdict.

Model answer (225 native-body words):

The Fiscal Responsibility and Budget Management Act, 2003 seeks medium-term discipline, transparency and inter-generational equity. Section 3 requires fiscal-policy statements covering rolling targets, macro assumptions, strategy and expenditure commitments. Section 4 contains statutory reference targets, while sections 6 and 7 require transparency and explanation of deviations.

Rules improve credibility by constraining deficit bias, exposing assumptions and anchoring debt expectations. They can lower uncertainty and preserve space for future shocks. Yet rigid annual ceilings may become pro-cyclical: abrupt consolidation during recession can weaken demand, employment and even revenue. Numerical compliance can also be manufactured through optimistic estimates, deferred payments or off-budget borrowing.

The amended escape clause is therefore important. It permits deviation on enumerated grounds including national security, calamity, severe agricultural collapse, structural reform with unanticipated fiscal effects and a specified fall in real output growth. Annual deviation is capped at 0.5 percentage point of GDP, and reasons plus a return path must be laid before Parliament.

The current position must be dated. Union Budget 2026-27 uses a declining Central-debt path, estimating debt at 55.6 per cent of GDP and fiscal deficit at 4.3 per cent in BE 2026-27. It also withholds the next two rolling-year targets because of global uncertainty.

India therefore needs rule-bound flexibility: comprehensive coverage, realistic assumptions, protected productive expenditure, transparent escape use, independent scrutiny and a credible correction path.

M5 - 20 marks - 250 words

Question: Why can the headline fiscal deficit understate public-sector fiscal risk? Suggest reforms.

Demand plan: define the legal/accounting boundary, attach dated Indian evidence, trace the economic mechanism and end with a qualified reform verdict.

Model answer (218 native-body words):

Fiscal deficit measures Union expenditure minus non-debt receipts for a specified year. It does not automatically consolidate States, public enterprises, special-purpose vehicles, guarantees, arrears or every quasi-fiscal operation.

Off-budget borrowing arises when an entity raises resources outside the direct Budget while debt service is borne by future government expenditure. Government of India fully serviced bonds and historical National Small Savings Fund financing of Food Corporation of India subsidy illustrate the substance-over-form problem. Extra-budgetary resources can postpone recognition, weaken year-to-year comparability and reduce parliamentary visibility.

Guarantees are contingent liabilities. They need not create immediate expenditure, but default can crystallise them. Analysis must distinguish annual net additions, total outstanding exposure, probability of invocation and recovery. Public-enterprise borrowing without a government servicing obligation should not be mechanically treated as sovereign debt, but ownership, guarantee and policy direction can still create risk.

Reform requires a consolidated fiscal-risk statement identifying entity, purpose, lender, maturity, currency, guarantee and servicing source. Budget documents should reconcile headline deficit with EBR, arrears and public-private partnership commitments. Guarantee fees and ceilings should reflect risk; projects should undergo appraisal and stress testing. CGA accounts, CAG audit and parliamentary committees need timely data and follow-up. Accrual-style balance-sheet information can complement, not replace, cash accounts.

Transparency should prevent concealment without discouraging commercially viable public enterprises from borrowing on their own strength.

M6 - 20 marks - 250 words

Question: How can fiscal consolidation support growth while preserving countercyclical capacity?

Demand plan: define the legal/accounting boundary, attach dated Indian evidence, trace the economic mechanism and end with a qualified reform verdict.

Model answer (222 native-body words):

Fiscal consolidation should improve the recurring balance and debt path without applying uniform expenditure cuts. Its quality depends on revenue durability, spending composition, macroeconomic timing and transparency.

On the revenue side, a broader base, better compliance and predictable administration create more durable space than one-off dividends or asset sales. On expenditure, poorly targeted leakage and idle balances should be reduced while protecting maintenance, health, education and high-return infrastructure. Effective capital expenditure is useful because it includes Union grants that create assets outside the Centre's own books, but project completion and outcomes must still be verified.

Public capex can crowd in private investment by removing logistics, power and urban bottlenecks. Conversely, persistent borrowing in tight financial conditions may absorb savings, raise yields and crowd out private credit. Debt sustainability therefore depends on the primary balance, the interest-growth differential, maturity, currency and contingent liabilities.

Countercyclical capacity requires buffers in normal times. Automatic stabilisers should operate during downturns, while discretionary support should be temporary, targeted and capable of rapid execution. A credible FRBM architecture needs transparent escape triggers and a specified return path rather than either unlimited discretion or mechanical annual austerity.

The Union Budget 2026-27 combines a 4.3 per cent fiscal-deficit BE with continued capital spending and a declining-debt anchor. Success must be judged later against Actuals, expenditure outcomes and complete liability disclosure.